

ZOETIS INC. (NYSE: ZTS)

The OA Wave Is Maturing: Quality Franchise, Fair Price

Equity Research Note · Healthcare — Animal Health · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
HOLD	\$64.00	\$69.69 Oct 2, 2026	-8.2%	High Beta ~0.70

Market cap	\$29.5 bn	Shares out. (diluted)	~423 mn
Enterprise value	~\$36.2 bn	52-week range	\$71.00 – \$149.54
Net debt / EBITDA	~\$6.7 bn / ~1.7x	YTD / 1-yr return	-43% / -51%
2026E revenue (guide)	\$9.12 – \$9.32 bn	2026E adj. EPS (guide)	\$6.15 – \$6.25
Trailing P/E / EV/EBITDA	11.6x / 9.1x	FCF yield / Div. yield	7.4% / 3.0%
Consensus rating	Hold	Consensus price target	~\$101 – \$107

Thesis in one paragraph: This note downgrades Zoetis from BUY (\$108 target) to **HOLD with a \$64 target**. The business case from September is unchanged — the world's largest animal-health company, 38% operating margins, ~24% FCF margin, a 3-month OA-antibody franchise launching, the deepest pipeline in company history — but the *valuation* was rebuilt under hardened discipline, and the fallen-quality bargain is gone. The old \$108 rested on a **7.5% WACC** and terminal growth of 2.5–3% on peak-cycle cash flows. The rebuilt 10-year scenario DCF — 10% base discount, terminal capped at 2.5% on normalized margins, a bear case that genuinely hurts (\$24.52, –65% below price) — is worth **bear \$24.52 / base \$64.41 / bull \$101.87 → \$63.80 weighted**. The price (\$69.69) roughly equals the base case. Pet-health demand is durable, but the Librela/OA growth wave is maturing — and the stock is fairly priced for it.

Key risks to the call: Librela safety scrutiny (FDA/EMA) and the related class action; U.S. companion-animal demand not recovering (which would make even the base case optimistic); branded JAK-inhibitor entrants taking more dermatology share; a third guidance cut.

1. Investment Thesis

Why the stock is hated. Zoetis cut full-year 2026 guidance twice (May and August): revenue guidance fell from \$9.83–\$10.03 bn to \$9.12–\$9.32 bn and adjusted EPS from \$7.00–\$7.10 to \$6.15–\$6.25, implying an *organic decline* of 1–3%. The U.S. companion-animal business fell 11% in both Q1 and Q2 2026 as vet-clinic visits declined, pet owners pushed back on prices, and new branded JAK inhibitors (Elanco's Zenrelia, Merck's Numelvi) attacked the Apoquel dermatology franchise. On top of that sits the Librela overhang: an FDA "Dear Veterinarian"

letter (Dec 2024), U.S. label updates with a mandatory client information sheet (Feb 2025), a UK label update flagging bone/joint findings (Jun 2026), an in-depth EMA review, and a securities class action filed after May's 21.5% plunge. Consensus collapsed from "Moderate Buy" with a ~\$153 target to "Hold" with ~\$101–\$107.

What the hardened rebuild changed — and what it didn't. The facts above are real, and they are now priced: the stock has halved. The September note's BUY case rested on a model that discounted at 7.5% and compounded a 2.5–3% terminal on peak-cycle cash flows — a fallen-quality story that flattered the arithmetic. The rebuild asks harder questions: what is this franchise worth at a **10% discount rate** (the rate a business facing a maturing growth wave and an active safety overhang earns), with the terminal capped at **2.5% on normalized margins**, and a bear case that actually hurts? The answer: \$63.80. The business didn't get worse; the math got honest.

Franchise economics are intact — but they are no longer accelerating. 37.8% GAAP operating margin (FY2025), ~72% gross margin, ~24% FCF margin, ~78% ROE. Software-like economics with a manufacturing moat. The 2026 earnings hole is demand/mix, not structural margin collapse. But the growth engine that justified 25–35x multiples — the Librela/OA wave — is maturing: Librela sales declined 5% in FY2025 on safety scrutiny, and the 3-month successors (Lenivia/Portela) are launching into a clouded market.

Multiple compression is mostly done, not mostly opportunity. Zoetis traded at 25–35x forward earnings for most of the last decade. At ~11x forward it is cheaper than Elanco on a quality-adjusted basis. But the old note's logic — 'value multiple on a growth franchise' — only works if the franchise re-accelerates. Our base case has revenue compounding at 4.35% for a decade: respectable, mature, and fairly priced at 10x forward cash flows.

The OA-pain franchise is being reinvented, not abandoned. Lenivia and Portela — the first 3-month anti-NGF antibodies — were approved in Canada and the EU in Q4 2025 and launched in 2026. Monthly Librela's dosing burden and safety noise are precisely what a longer-acting successor addresses; the installed base of ~21M+ doses is the launchpad. This is the bull case's engine (\$101.87) — and it has to work for the stock to beat our \$64.

The pipeline is the deepest in company history: 12+ candidates each with \$100M+ potential across obesity, oncology, chronic kidney disease, cardiology and anxiety; a major-market approval targeted every year; long-acting Cytopoint expected in the U.S. by end-2026; Simparica DUO in 2027.

Capital returns are aggressive at the lows. The \$6B buyback program has \$1.3B remaining; 11M shares were retired in H1 2026 (~\$1.16B) at an average ~\$105. The dividend was raised for the 13th straight year to \$2.12 annualized (3.0% yield, ~35% payout). Management is buying its own dip — which cushions the downside but does not create upside at \$69.69.

Falsification: upgrade to BUY if the price falls toward the \$40s–\$50s (bear-case territory, where even the harsh downside is paid for) or if U.S. companion-animal demand re-accelerates with the OA franchise — the base case would rebuild toward \$75–80. Downgrade to SELL on a third guidance cut or a restrictive EMA decision on Librela.

2. Company Overview

Zoetis is the world's largest animal-health company (~18% global share), discovering, developing, manufacturing and commercializing medicines, vaccines and diagnostics for companion animals (dogs, cats, horses) and livestock (cattle, swine, poultry, fish, sheep). It markets directly in ~45 countries and sells in 100+. Born as Pfizer's animal-health division (1952), it IPO'd at \$26 in February 2013 — the largest U.S. IPO since Facebook — with Pfizer fully exiting by June 2013. HQ: Parsippany, NJ. Employees: ~14,500. CEO Kristin Peck (since 2020).

Revenue mix (FY2025, \$9,467M)

Segment	Revenue (\$M)	% of total	2025 growth
Companion animal	\$6,587	69.6%	+5%

Segment	Revenue (\$M)	% of total	2025 growth
Livestock	\$2,764	29.2%	–5% rep. / +8% organic*
Contract mfg / human health	\$116	1.2%	—
United States	\$5,097	53.8%	83% companion / 17% livestock
International	\$4,254	44.9%	56% companion / 44% livestock

* Livestock reported decline reflects the MFA divestiture; organic operational growth was +8%. Species split: dogs & cats \$6,283M; cattle \$1,492M; poultry \$432M; swine \$466M; fish \$286M; horses \$304M. Source: Zoetis Q4/FY2025 press release (BusinessWire, 2/12/2026).

3. Financial Review

A decade of compounding, then a 2026 air pocket. Revenue grew at ~9% CAGR from the 2013 spin-off through 2025; adjusted EPS compounded faster (~12%) on buybacks. FY2025 still printed record results — \$9.47B revenue, 37.8% operating margin, \$6.41 adjusted EPS — before U.S. companion-animal demand rolled over in 2026.

\$M except EPS	FY2024	FY2025	FY2026E (guide mid)
Revenue	\$9,256	\$9,467	\$9,220
Revenue growth (organic operational)	+11%	+6%	–2%
GAAP operating income	\$3,358	\$3,582	~\$3,300
GAAP operating margin	36.3%	37.8%	~36%
Net income (GAAP)	\$2,486	\$2,673	—
Diluted EPS (GAAP)	\$5.47	\$6.02	—
Adjusted diluted EPS	\$5.92	\$6.41	\$6.20
Free cash flow	~\$2,320	\$2,300	~\$2,050
R&D; / SG&A; (% of revenue)	7.4% / 25.0%	7.4% / 25.1%	~7.5% / ~25%
Dividend per share	\$1.73	\$2.00	\$2.12

Sources: Zoetis 10-K (FY2025), Q4/FY2025 and Q2 2026 press releases; FY2026E per Aug-2026 guidance midpoints, FCF estimated.

The quarter that broke the multiple

Q2 2026 (Aug 6): revenue \$2,468M, flat y/y (–1% organic); adjusted EPS \$1.87 (+5% reported, +4% organic) — a 1% EPS beat on a 1.5% revenue miss. The U.S. fell 7% (companion animal –11%: dermatology and Simparica Trio pressured by price sensitivity and competition; Cerenia/Convenia generic erosion; lower Librela sales) while U.S. livestock surged 23% on cattle and poultry. Margins compressed (operating margin 37.4% vs 39.1% PY). **Q1 2026 (May 7)** was worse: revenue \$2.26B (+3%, miss), adjusted EPS \$1.53 (miss), U.S. companion –11% — and the stock fell 21.5% in a day.

Guidance cuts — twice in three months

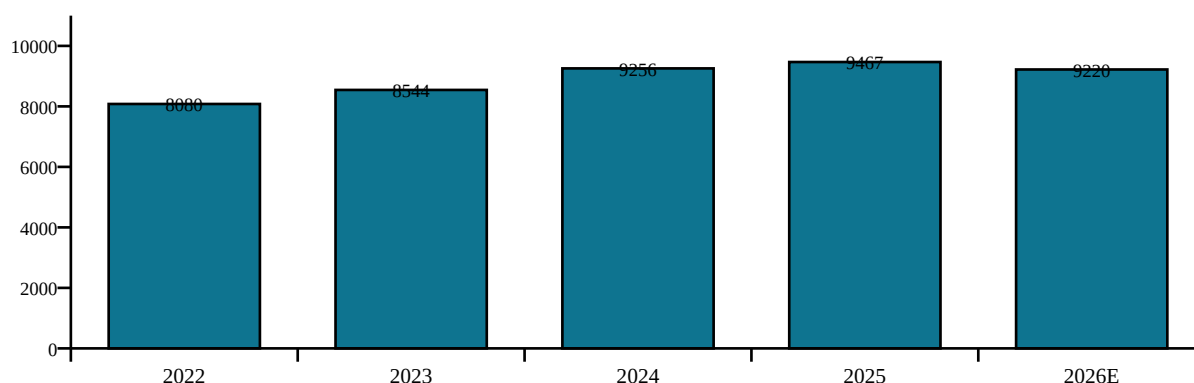
	Feb 2026 (initial)	May 2026 (Q1)	Aug 2026 (Q2, current)
Revenue	\$9.83–\$10.03B	\$9.68–\$9.96B	\$9.12–\$9.32B
Organic operational growth	+3% to +5%	cut	–3% to –1%
Adjusted diluted EPS	\$7.00–\$7.10	\$6.85–\$7.00	\$6.15–\$6.25

Midpoint revenue cut: –7.1%. Midpoint adj. EPS cut: –12%. Price contribution assumption trimmed to 1–2%. The bar is now low — and beatable, though the hardened model no longer needs a beat to justify the price.

Dividend & balance sheet

The dividend was raised 6% in Dec 2025 to **\$0.53/quarter (\$2.12 annualized)** — the **13th consecutive annual increase**, with a 5-year annualized growth rate near 20%. At \$69.69 the yield is **~3.0%** on a conservative **~35% payout ratio**; there is ample room to keep raising through the trough. Balance sheet: ~\$2.5B cash against ~\$9.0B long-term debt (including \$2.0B of 0.25% converts due 2029 issued Dec 2025 to fund buybacks); net debt/EBITDA ~1.7x; ratings A3 (Moody's) / BBB+ (S&P), both stable. The **\$6B buyback program has \$1.3B remaining**; 11.0M shares were retired in H1 2026 for \$1.16B, cutting diluted shares 6.2% y/y. Five-year EPS CAGR (9.2%) has run well ahead of revenue CAGR (6.3%) — buybacks are a structural EPS driver.

Revenue & adjusted EPS trajectory (\$M / \$)



Revenue: \$8,080M (2022) → \$8,544M (2023) → \$9,256M (2024) → \$9,467M (2025) → ~\$9,220M (2026E guide mid). Adj. EPS: \$4.96 → \$5.32 → \$5.92 → \$6.41 → \$6.20E. Sources: company filings; 2026E per guidance.

4. Product Portfolio Evaluation

We score each franchise on growth, defensibility, and LOE risk. The portfolio's center of gravity is shifting from small-molecule dermatology/parasiticides toward monoclonal antibodies and diagnostics — higher-moat, higher-duration assets.

Franchise (molecule)	FY2025 sales	Growth	Assessment
Dermatology: Apoquel (oclacitinib) + Cytopoint (lokivetmab)	\$1,743M	+6%	Crown jewel under siege. Apoquel holds ~87% U.S. share but faces its first real branded JAK competition (Zenrelia, Numelvi). CEO guides first LOE to 2032 (ex-chewable) — far better than feared. Long-acting Cytopoint expected in U.S. by end-2026.
OA-pain mAbs: Librela (bedinvetmab, dogs) + Solensia (frunevetmab, cats)	\$568M	–2%	The controversy — and the maturing wave. Librela \$423M (–5%) with U.S. declines on safety scrutiny; Solensia intl +19%. No mAb competitor exists. Lenivia/Portela (3-month dosing) launched in Canada/EU 2026 — the franchise's second act, and the bull case's engine.
Parasiticides: Simparica franchise / Simparica Trio	\$1,504M / \$1,194M	+11% / +12%	Strongest grower. U.S. share leader (~2x #2); share slipped ~1pt in Q2 2026. Threat is branded (BI's NexGard €1.4B), not generic — no disclosed generic filing. Simparica DUO (2027) extends the line.
Anti-infectives / other: Draxxin, Convenia, Cerenia, ProHeart, Revolution	n/d individually	mixed	Cerenia and Convenia already face U.S. generics (flagged in Q2 PR) — contained, legacy drag. ProHeart grew in Q4 2025. Convenia reformulation due 2028–29.

Franchise (molecule)	FY2025 sales	Growth	Assessment
Diagnostics: Vetscan, Imagyst, Opticell + VitalRADS/VPG	\$104M qtr (+12%)	+12%	Small but strategic. Acquisitions of VitalRADS (Jul 2026) and Veterinary Pathology Group (Nov 2025) push Zoetis beyond in-vitro into imaging interpretation vs. IDEXX.

Sales per Zoetis FY2025 earnings slides. n/d = not disclosed.

Librela safety: separating signal from noise

The facts, in order: FDA “Dear Veterinarian” letter (Dec 2024) citing 3,600+ adverse-event reports; U.S. label update plus mandatory Client Information Sheet (Feb 2025); EMA in-depth review launched (late 2025); UK label update adding very-rare bone/joint findings (Jun 2026); a 2026 JAVMA review flagging rapidly progressive OA; FDA draft mAb safety guidance (Sep 2026). Against this: 21M+ doses distributed, side effects described by Zoetis as rare, and the CMO publicly standing behind the product. Our read: the safety cloud caps Librela’s monthly-injectable trajectory — the OA wave is *maturing*, not collapsing — and the 3-month successors were designed for exactly this moment. The residual tail risk is the class action and any EMA restriction; both are 2027 stories, and both are in the price at ~11x earnings.

5. Pipeline & Growth Drivers

R&D runs ~\$700M/year (~7% of sales) — the largest absolute budget in animal health — and management targets a significant approval in a major market *every year*. More than 12 candidates are each credited with \$100M+ potential across five new therapeutic frontiers (obesity, oncology, chronic kidney disease, cardiology, anxiety) where Zoetis today has minimal presence: pure whitespace.

Window	Expected approvals / launches
2026	Long-acting OA mAbs Lenivia/Portela (achieved — launched Canada/EU); long-acting Cytopoint U.S.; next-gen chemistry Dx; HVT-ND poultry vaccine
2027	Renal mAb therapy; Simparica DUO ; needle-free swine vaccines; DNA vaccine
2028–2029	Dermatology mAb; oncology mAbs 1 & 2; Convenia reformulation; parasite vaccines
2030+	Obesity therapeutic; anxiety therapeutic; cardiology solution; long-acting parasiticide; oral vaccines

Per Zoetis Corporate Overview (Apr 2026). Beyond the pipeline, three structural drivers: (1) **emerging markets** — Simparica Trio launched in Brazil; China is 72% companion-animal mix; (2) **diagnostics** — moving up the value chain into imaging/teleradiology; (3) **livestock recovery** — U.S. livestock +23% in Q2 2026 on cattle/poultry, plus H5N2 and screwworm vaccine optionality. The global animal-health market is growing ~6–11% annually depending on scope; Zoetis at ~18% share has the distribution to take more than its share.

6. Competitive Landscape

Company	2025 AH sales	Growth	Key brands / threat
Zoetis	\$9,467M	+2% (+6% organic)	Simparica, Apoquel/Cytopoint, Librela — #1 globally (~18% share)
Merck Animal Health	\$6,354M	+8%	Bravecto; Numelvi (new JAK vs Apoquel). Gaining in companion (+2%).
Boehringer Ingelheim AH	€4.9B	+6.5%	NexGard €1.4B (+8.5%) — top parasiticide brand vs Simparica
Elanco	\$4,715M	+6%	Zenrelia (new JAK vs Apoquel); GAAP net loss — financially stretched rival
IDEXX (diagnostics)	diagnostics leader	—	Owns the vet ‘diagnostic desktop’; Zoetis attacking via Imagyst/Opticell/VitalRADS
Dechra / Virbac / Ceva	mid-tier	—	Niche companion/pharma and vaccine players; Dechra EQT-owned

The competitive map favors Zoetis' moat more than the stock suggests: its two most direct attackers in dermatology (Elanco, loss-making; Merck AH, a division) lack Zoetis' field force and mAb manufacturing scale, and in parasiticides the fight is brand-vs-brand where Zoetis still leads the U.S. 2-to-1. The structural threat is channel, not product: Chewy/retail and pet-owner price sensitivity are disintermediating the clinic — Zoetis' home field. Management's affordability and loyalty programs are the right response, but this is the variable to watch.

7. Moat & Risks

Moat — wide, in our view

Veterinarian embeddedness. Decades-deep field force and clinic-workflow integration create high switching costs; vets prescribe what they trust with patients they see repeatedly.

Biologics manufacturing. ~29 facilities in 11 countries; mAb and vaccine capacity is a genuine barrier — Elanco cannot replicate it on its balance sheet.

R&D scale + distribution. ~\$700M annual R&D and direct presence in ~45 countries let Zoetis out-develop and out-launch every rival.

Portfolio breadth. No single product exceeds ~18% of revenue; LOE events (Cerenia, Convenia) have been absorbed without derailing the P&L.

Risks — in order of stock relevance

1. **Librela safety/regulatory tail.** EMA review outcome, further label tightening, and the securities class action. A restrictive EMA decision would re-rate the OA franchise lower — and the maturing OA wave is already the reason the base case compounds at only 4.35%.

2. **U.S. companion-animal demand.** Two quarters of –11% U.S. companion declines. If clinic visits and price sensitivity are structural (channel shift to retail), our base-case normalization fails and the bear (\$24.52) is the model.

3. **Dermatology share loss.** Apoquel at ~87% U.S. share with two new JAK entrants; faster-than-modeled erosion hits the highest-margin franchise.

4. **Execution on guidance.** A third cut would destroy the 'low bar' argument and likely take the stock toward the \$50s — still above our bear, but a SELL signal.

5. **FX, livestock cyclicity, China** — 45% of revenue is international; protein cycles and geopolitics are perennial swing factors.

8. Valuation (hardened v2)

The September 19 note's \$108 target rested on a **7.5% WACC** — a rate that prices a BBB+ animal-health company like investment-grade debt — and terminal growth of 2.5–3% on peak-cycle cash flows. The rebuild re-tiers the discount to **10% base** (12.5% bear / 8.5% bull), caps terminal growth at **2.5% on normalized mid-cycle margins**, and rebuilds the bear to genuinely hurt. The old base case (\$110 at 7.5%) is not conservative at a 10% discount; it does not exist. This section replaces the old three-lens triangulation with the hardened instrument: a **10-year scenario FCF DCF, weights 25/50/25**. Target = weighted DCF.

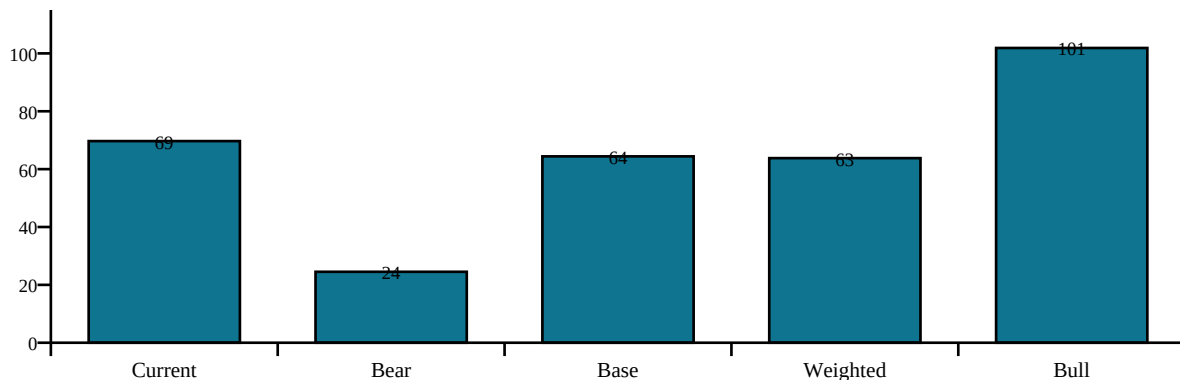
A. Hardened scenario DCF: bear \$24.52 / base \$64.41 / bull \$101.87 → \$63.80

Scenario (weight)	10-yr revenue CAGR	FCF margin (yr-10) / discount / terminal g	Fair value
Bear (25%) — OA wave stalls; U.S. demand structural; Librela restricted	below 3%*	20.0% / 12.5% / 1.50%	\$24.52
Base (50%) — trough normalizes; pipeline delivers; OA matures gracefully	4.35%	24.0% / 10.0% / 2.25%	\$64.41

Scenario (weight)	10-yr revenue CAGR	FCF margin (yr-10) / discount / terminal g	Fair value
Bull (25%) — OA franchise re-accelerates; pipeline hits; U.S. recovers	5.59%	24.5% / 8.5% / 2.50%	\$101.87
Probability-weighted (25/50/25)	—	TV/EV: bear 34% / base 49% / bull 59% — all below the 70% cap	\$63.80

*The bear compounds revenue below the 3% discipline hurdle, with FCF margins 400bp below base and terminal growth derated 33% — all bear-discipline checks pass, and the bear sits 65% below price.

DCF scenario values vs. current price (\$)



Read the chart honestly: the price sits **between the base case and the weighted average** — the market is paying fair value for the middle outcome. The old chart showed the bear (\$66) just below the price; the new bear (\$24.52) shows what a genuine downside looks like when the discount is honest. The bull (\$101.87, +46%) requires the OA franchise to re-accelerate and the pipeline to hit — possible, but it is the upside you *give up* by paying \$69.69, not the case you underwrite.

B. Relative multiples — disclosed cross-checks, not anchors

Zoetis at ~11x forward earnings trades at a ~60% discount to its own 10-year average (~28x). On 2027E adjusted EPS of ~\$6.70: 15x → \$100; 16x → \$107. IDEXX, the closest quality comp, trades ~28x forward. Under the hardened methodology these are disclosed context — the market *could* re-rate Zoetis toward 15x on trough earnings (the old \$108 thesis), but multiples describe what investors pay at cycle turns, not what the cash flows are worth. The DCF says the cash flows are worth \$64; we do not depart from it, because there is no falsifiable justification for departing — the OA wave is maturing, which is precisely the fundamental the multiples ignore.

C. What changed, line by line

Old base \$110 → new base \$64.41. The bridge: **discount 7.5% → 10%** (the single largest driver — the old WACC priced a cyclical animal-health company at bond-like rates); **terminal 3% → 2.25% on normalized margins** (the old terminal compounded peak-cycle FCF); **revenue CAGR 5–6.5% → 4.35%** (the OA wave matures; no management anchoring to the old 6%+ market-growth assumption). Old bear \$66 → new bear \$24.52: the old bear wasn't a bear (only 8% below price); the new one prices a stalled OA franchise and structural U.S. demand decline. **Target: \$64.** The weighted DCF (\$63.80, rounded). Implied downside from \$69.69: **–8.2%**.

9. Recommendation

HOLD — 12-month target \$64 (–8.2%). This is a downgrade, and it is entirely a valuation downgrade. The fallen-quality setup the September note described — wide moat (38% operating margins, 78% ROE), aggressive buybacks, the deepest pipeline in company history — is all still true. What changed is the arithmetic under it: at a cycle-honest 10% discount with a capped terminal and a bear that genuinely hurts, the franchise is worth \$63.80, and it trades at \$69.69. There is no margin of safety to buy, and no reason to sell: the trough is likely in, the

dividend (3.0%) pays you to wait, and the bull case (\$101.87, +46%) is real optionality if the 3-month OA antibodies re-accelerate the franchise.

Position sizing & catalysts

Hold existing positions; do not add above \$70. New money waits for either a price toward the \$50s (bear-case territory, where the harsh downside is paid for) or evidence the OA franchise re-accelerates — U.S. companion demand recovering *and* Lenivia/Portela launch reads beating expectations.

Catalysts (next 12 months): Q3 2026 print + guidance update (Nov 2026) — stabilization is the base case's key assumption; long-acting Cytopoint U.S. approval (by end-2026); Lenivia/Portela early launch reads in Canada/EU; EMA CVMP review conclusion; evidence of U.S. clinic-visit stabilization.

What would change our mind: to BUY — U.S. companion demand re-accelerating into 2027 with the OA franchise growing again (the base case rebuilds toward \$75–80); to SELL — structural, not cyclical, U.S. demand decline (persistent double-digit declines into 2027), Apoquel share collapsing below ~70%, or a restrictive EMA decision on Librela.

Risks to the call are detailed in Section 7; the single largest is a third guidance cut, which would likely take the stock toward the \$50s and invalidate the trough thesis — at which point the bear case (\$24.52) is no longer a tail.

Sources & methodology

Company: Zoetis Q4/FY2025 press release (BusinessWire 2/12/2026); Q2 2026 press release (BusinessWire 8/6/2026); Q2 2026 10-Q; FY2025 10-K; FY2025 earnings slides; Corporate Overview (Apr 2026); management commentary Sep 2026. Regulatory: FDA CVM, EMA/CVMP, UK VMD, JAVMA review. Market data: quote/market data Oct 2, 2026; consensus via MarketBeat/transcriptdaily; analyst actions via Zacks, StockStory, Piper Sandler, JPMorgan, TD Cowen, Stifel. Valuation: hardened v2 scenario FCF DCF (10-year, discounts 12.5%/10%/8.5%, terminal growth $\leq 2.5\%$ on normalized mid-cycle margins, weights 25/50/25); relative multiples shown as disclosed cross-checks. **This note is for informational purposes only and is not investment advice, an offer, or a recommendation to buy or sell any security. Investing involves risk, including loss of principal.**